

University of Bonn, Kaiserplatz 7-9
Institut für Makroökonomie und Ökonometrie
53113 Bonn
☎* +4915735450899
E-mail: frederik.kurcz@gmail.com
Website: frederik.kurcz.de

Frederik Paul Kurcz

Education

- 10.2020-09.2026 **Economics, PhD Candidate**, *Berlin School of Economics (associated with Freie Universität Berlin)*, Berlin
Supervisor: Prof. Dr. Alexander Kriwoluzky
- 10.2015-05.2018 **Economics, M.Sc.**, *University of Tübingen*, Tübingen
- 2016 **Economics, M.A.**, *Queen's University*, Kingston, Canada (Fall term)
- 2011-2015 **Economics and Business Administration, B.Sc.**, *University of Hohenheim*, Stuttgart-Hohenheim

Research interests

Macroeconomics, Monetary and Fiscal Policy, Household Heterogeneity

References

Prof. Alexander Kriwoluzky, akriwoluzky@diw.de, DIW Berlin, Anton-Wilhelm-Amo-Straße 58, 10117 Berlin

Prof. Gernot Müller, gernot.mueller@uni-tuebingen.de, University of Tübingen, Mohlstraße 36, 72074 Tübingen

Prof. Fabian Seyrich, f.seyrich@fs.de, Frankfurt School of Finance & Management, Adickesallee 32-34, 60322 Frankfurt am Main

Job Market Paper

10.2025 **Quantifying the Fiscal Channel of Monetary Policy**

In business-cycle models the effects of monetary policy depend on the fiscal reaction to interest rate changes. This paper presents new evidence on the effects of U.S. monetary policy on fiscal policy instruments and subsequently estimates a Heterogeneous Agent New Keynesian model with flexible fiscal feedback rules. I find that fiscal policy responds to monetary-induced output contractions with debt-financed, countercyclical tax and transfer policies, amid a gradual decline in spending to accommodate the debt increase. The model implies that monetary policy unopposed by a business-cycle stabilization motive of fiscal policy would be roughly 50% more contractionary.

Publications

- 07.2022 **Do words hurt more than actions? The impact of trade tensions on financial markets**, *Journal of Applied Econometrics* 37(6), 1138-1159, jointly with Massimo Ferrari and Maria Sole Pagliari

We use machine learning techniques to quantify trade tensions between the United States and China. Our measure matches well-known events in the US-China trade dispute and is exogenous to the developments on global financial markets. Local projections show that rising trade tensions leave US markets largely unaffected, except for firms that are more exposed to China, while negatively impacting stock market indices and exchange rates in China and emerging markets. We complement these findings with additional evidence suggesting that the US-China trade tensions have been interpreted as a negative demand shock for the Chinese economy rather than as a global risk shock.

Working Papers & Work in progress

- 08.2025 **Friend, not Foe? Monetary Policy and Energy Prices**, *DIW Discussion Paper 2033*, jointly with Gökhan Ider, Alexander Kriwoluzky, and Ben Schumann

In this paper, we first present a new empirical finding by showing that the European Central Bank's monetary policy decisions significantly influence global energy prices. Through Lucas-critique-robust counterfactual analysis, we show that a central bank's ability to affect global energy prices strengthens the monetary transmission to inflation and alleviates the inflation-output tradeoff. We illustrate the relevance of these results by examining their role in the optimal policy response to an energy supply shock. Our estimates show that the ability of monetary policy to affect global energy prices halves the tightening necessary to stabilize inflation and mitigates the corresponding economic contraction.

- 09.2025 **One Money, Many Fiscal Policies - Evidence from the Euro Area**, *Work in progress*, jointly with Luis Huxel, Alexander Kriwoluzky, and Gernot Müller

In this paper, we study the country-level fiscal role in Euro Area monetary transmission. The European monetary and fiscal setting provides a well-suited testing ground to study the importance of heterogeneous, country-level fiscal responses to a common monetary shock. By employing Bayesian vectorautoregressive estimation techniques we characterize country groups by their fiscal responses to the common monetary shock. Preliminary results show that there are substantial differences in the budgetary reactions to the costs induced by an interest rate increase. Importantly, the differential fiscal responses lead to significantly different output and consumption responses. These preliminary results for the Euro Area underscore the importance of the fiscal role in shaping the real effects of monetary policy on the economy.

Professional Experience

Vocational

- 10.2026- **University of Bonn**, *PostDoc*, Bonn, Institute for Macroeconomics and Econometrics
- 07.2025 **Research visit University of Bonn**, Bonn, Prof. Dr. Christian Bayer
- 06.2025 **Research visit University of Tübingen**, Tübingen, Prof. Dr. Gernot Müller
- 10.2021- **German Institute for Economic Research**, *Research Associate*, Berlin, Macroeconomics Department
- 09.2026
- 10.2021- **Freie Universität Berlin**, *Research and Teaching Assistant*, Chair of Macroeconomics
- 03.2023
- 03.2020- **Deutsche Bundesbank**, *Internship*, Frankfurt am Main, Monetary Policy and Analysis Division - Group Fundamental Questions
- 07.2020
- 09.2019- **European Central Bank**, *Research Analyst*, Frankfurt am Main, International Policy Analysis, DG International & European Relations
- 12.2019
- 09.2018- **European Central Bank**, *Traineeship*, Frankfurt am Main, External Developments Division, DG International & European Relations
- 08.2019
- 04.-09.2017, **University of Tübingen**, *Student Research Assistant*, Tübingen, Chair of International Macroeconomics and Finance of Prof. Gernot Müller
- 05.-10.2018

Miscellaneous

- 2010-2011 **Voluntary Year of Social Service**, *Katharinenhospital Stuttgart*, Stuttgart

Policy Work

- 2025 **Joint economic forecast**, *Gemeinschaftsdiagnose*, Autumn 2025, Autumn 2024, Spring 2024, Autumn 2023, Spring 2022, and Autumn 2021.
- 2025 **German Economy Poised for Upturn Thanks To Fiscal Package; Uncertainties in the Global Economy**, *DIW Weekly report*, 15(36), 213-225, jointly with Dany-Knedlik, G., Baldi, G., Brehl, N. M., et al.
- 2025 **Tariff Chaos Overshadowing the Global Economy; Fiscal Package Bolstering the German Economy**, *DIW Weekly report*, 15(22-24), 129-140, jointly with Dany-Knedlik, G., Baldi, G., Brehl, N. M., et al.
- 2025 **Vollständige europäische Bankenunion würde Finanzierungskosten senken und Investitionen ankurbeln**, *DIW aktuell*, 113, jointly with Hüttel, Pia
- 2025 **Policy Changes Leaving Marks on the Economy**, *DIW Weekly report*, 15(10-11), 63-75, jointly with Dany-Knedlik, G., Baldi, G., Brehl, N. M., et al.
- 2024 **Monetary policy during the energy price crisis: ECB could have contained inflation earlier**, *DIW Weekly report*, 14(40/41/42), 241-247, jointly with Gökhan Ider, Alexander Kriwoluzky, and Ben Schumann.
- 2024 **DIW Berlin Economic Outlook: German Economy Stuck in Limbo While Trade Conflicts Threaten the Global Economy**, *14(50-52)*, 311-322, jointly with Dany-Knedlik, G., Baldi, G., Brehl, N. M., et al.

- 2024 **DIW Berlin Economic Outlook: Industry Sputtering Globally while the German Economy Stagnates**, *DIW Weekly report*, 14(35-39), 223-237, jointly with Dany-Knedlik, G., Brehl, N. M., Engerer, H. et al.
- 2024 **DIW Berlin Economic Outlook: Global Economy Recovering Swiftly; German Economy Gaining Momentum**, *DIW Weekly report*, 14(24-26), 167-176, jointly with Dany-Knedlik, G., Baldi, G., Brehl, N. M. et al.
- 2024 **DIW Berlin Economic Outlook: Global Economy Experiencing Robust Growth; Germany's Recovery Is Delayed Further**, *DIW Weekly report*, 14(10-11), 85-93, jointly with Bönke, T., Baldi, G., Engerer, H. et al.
- 2023 **DIW Berlin Economic Forecast: Forecast Ranges from Cloudy to Bright**, *DIW Weekly report*, 13(50-52), 305-313, jointly with Bönke, T., Dany-Knedlik, G., Baldi, G. et al.
- 2023 **Addressing inflationary risks in the face of high energy prices: what can the ECB do?**, *European Parliament Monetary Dialogue Papers*, Prospects for monetary policy one year into the war in Ukraine, jointly with Gökhan Ider, Alexander Kriwoluzky, and Ben Schumann.
- 2023 **DIW Economic Outlook: German Economy currently scarcely making headway**, *DIW Weekly report*, 13(36-37), 234-253, jointly with Bönke, T., Dany-Knedlik, G., Baldi, G. et al.
- 2023 **And yet they move: Energy prices fall when key interest rates increase, despite countervailing effects**, *DIW Weekly report*, 90(8), 87-94, jointly with Gökhan Ider, Alexander Kriwoluzky, and Ben Schumann.
- 2023 **DIW Economic Outlook: German Economy Fighting Its Way out of Winter Recession**, *DIW Weekly report*, 13(24), 173-180, jointly with Bönke, T., Dany-Knedlik, G., Baldi, G. et al.
- 2022 **ECB can lower fuel and heating costs by increasing interest rates but would risk economic recovery**, *DIW Weekly report*, 89(14), 219-225, jointly with Gökhan Ider and Alexander Kriwoluzky.
- 2022 **DIW Berlin Economic Outlook: Summer Upswing to Follow Winter Slump**, *DIW Weekly report*, 12(7-8), 53-64, jointly with Baldi, G., Berenberg-Gossler, P., Engerer, H. et al.
- 2021 **Global Economy Returning to Its Recovery Course after Summer Setbacks: DIW Economic Outlook Autumn 2021**, *DIW Weekly report*, 11(37), 270-274, jointly with Baldi, G., Dany-Knedlik, G., and Engerer, H.

Teaching

Summer term 2025	Advanced Macroeconomic Analysis II (PhD) , <i>Teaching Assistant</i>
Winter term 2022/2023	Behavioral Macroeconomics - Seminar (B.Sc.) , <i>Teaching Assistant</i>
Summer term 2022	Fundamentals of Macroeconomics (B.Sc.) , <i>Teaching Assistant</i>

Winter term **Behavioral Macroeconomics - Seminar (B.Sc.)**, *Teaching Assistant*
2021/2022

Languages

German **Fluent (mother tongue)**

English **Fluent**

French **Intermediate**